# FADM GROUP PROJECT

# A Financial Analysis of Singapore Airlines and Cathay Pacific

## Part - I

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## 1. Company and Competitor Overview

### Singapore Airlines

Singapore Airlines (SIA), headquartered in Singapore, is one of the world's leading premium full-service airline groups. The company offers passenger air transportation across multiple cabin classes, cargo transportation, engineering services, and ancillary travel-related services. Through its subsidiaries and brands such as Singapore Airlines and Scoot, the group operates an extensive network spanning Asia-Pacific, Europe, North America, the Middle East, and Africa. SIA primarily targets premium international travelers while maintaining a presence in the low-cost carrier segment through Scoot.

### Cathay Pacific

Cathay Pacific, headquartered in Hong Kong, is a leading international airline group offering passenger transportation, cargo logistics, and travel lifestyle services. The group operates through brands including Cathay Pacific, Cathay Cargo, and HK Express. Its key markets include Hong Kong, Mainland China, Southeast Asia, and other major international destinations. Similar to Singapore Airlines, Cathay Pacific positions itself as a premium airline while maintaining a strong cargo business.

## 2. Comparative Financial Performance (FY2020-21 to FY2024-25)

Both airlines were significantly affected by the COVID-19 pandemic, recording losses during FY2020-21 and FY2021-22 due to travel restrictions and reduced passenger demand. Following the reopening of international travel, both companies experienced strong revenue and profit recovery.

Singapore Airlines' revenue increased from SGD 3.8 billion in FY2020-21 to SGD 19.5 billion in FY2024-25, representing more than a five-fold increase. Cathay Pacific's revenue similarly increased from HKD 45.6 billion to HKD 116.8 billion during the same period.

While Cathay Pacific reported higher operating profits in FY2024-25, Singapore Airlines generated substantially higher net profits, indicating stronger non-operating income contributions and overall profitability. Both companies maintained strong asset bases to support their global operations, though asset growth remained relatively stable compared to revenue growth, reflecting improved utilization of existing assets after the pandemic recovery.

## Singapore Airlines

IN INR (in millions) (converted using the exchange rate of 1 SGD = 74.45 INR)

| | 2025 | 2024 | 2023 | 2022 | 2021 |
|---|---|---|---|---|---|
| Total Revenue | 1,454,738.11 | 1,415,495.52 | 1,323,333.86 | 566,921.86 | 284,093.76 |
| Total Expenses | 1,327,495.62 | 1,212,433.14 | 1,122,907.02 | 612,314.03 | 471,149.38 |
| Operating Profit/Loss | 127,242.50 | 203,062.38 | 200,426.85 | -45,392.17 | -187,055.63 |
| Profit/Loss Before Taxaction | 220,729.36 | 226,112.10 | 196,309.76 | -81,150.50 | -369,063.54 |
| Profit/Loss for the Financial Year | 209,368.29 | 200,650.20 | 165,197.11 | | |
| Earnings Per Share (in INR) | 66.48 | 47.13 | 26.50 | -12.06 | -76.39 |
| Total Assets | 3,207,812.26 | 3,295,506.92 | 3,655,584.34 | 3,623,555.95 | 2,797,927.79 |
| Employee Count | 27,821 | 25,619 | 22,819 | 22,214 | 25,547 |

| | | | | | |
|---|---|---|---|---|---|
| Sales/Asset | 0.45349852 | 0.42952285 | 0.36200337 | 0.15645456 | 0.1015372 |
| Percentage Change in Sales/Asset | 5.58193137 | 18.6516152 | 131.379237 | 54.0859495 | |
| Total Percentage Change in Sales/Asset in 5 years | 346.632869 | | | | |
| Sales/Employee | 52.2892099 | 55.2517866 | 57.9926316 | 25.5209264 | 11.1204353 |
| Percentage Change in Sales/Employee | -5.36195624 | -4.72619528 | 127.235605 | 129.495751 | |

## Cathay Pacific

IN INR (in millions) (converted using the exchange rate of 1 HKD = 12.12 INR)

| | 2025 | 2024 | 2023 | 2022 | 2021 |
|---|---|---|---|---|---|
| Total Revenue | 1,415,203.92 | 1,264,976.52 | 1,145,158.20 | 618,556.32 | 552,514.44 |
| Total Expenses | 1,244,639.16 | 1,105,271.28 | 987,610.32 | 576,487.80 | 557,968.44 |
| Operating Profit/Loss | 175,230.96 | 168,807.36 | 183,315.00 | 42,068.52 | -17,489.16 |
| Profit/Loss Before Taxaction | 149,197.20 | 135,780.36 | 131,598.96 | -74,113.80 | -73,410.84 |
| Profit/Loss for the Financial Year | 131,235.36 | 119,842.56 | 118,654.80 | -80,258.64 | -66,975.12 |
| Earnings Per Share (in INR) | 20.06 | 18.08 | 17.06 | -13.62 | -11.53 |
| Total Assets | 1,872,794.52 | 1,842,215.76 | 1,834,555.92 | 1,873,485.36 | 2,032,887.62 |
| Employee Count | 33,000 | 30,100 | 23,800 | 21,200 | 21,600 |

| | | | | | |
|---|---|---|---|---|---|
| Sales/Asset | 0.75566428 | 0.68666035 | 0.624215478 | 0.330163413 | 0.27178799 |
| Percentage Change in Sales/Asset | 10.0492081 | 10.0037367 | 89.0625835 | 21.4782937 | |
| Total Percentage Change in Sales/Asset in 5 years | 178.034463 | | | | |
| Sales/Employee | 42.8849673 | 42.025798 | 48.11589076 | 29.17718491 | 25.57937222 |
| Percentage Change in Sales/Employee | 2.04438537 | -12.657134 | 64.90929784 | 14.06528922 | |

## Notes

Sales/Asset = Total Revenue/Total Assets

Sales/Employee = Total Revenue/Employee Count

Operating Profit/Loss = Total Revenue - Total Expenses

## 3. Business Acquisitions Investments and Financial Strategy

Over the last five years, Singapore Airlines and Cathay Pacific have undertaken strategic acquisitions, investments, and financing initiatives to strengthen their market position, improve operational efficiency, and support long-term growth. The following section evaluates these initiatives and their impact on sales, profitability, and cash flows.

### SINGAPORE AIRLINES

### A.Business Acquisition

| Transaction | Period | Value | Strategic Objective |
|---|---|---|---|
| Air India–Vistara Merger | 2022-2024 | S$360 million | Gain 25.1% stake in enlarged Air India and strengthen presence in India |
| Tiger Airways Privatization & Scoot Integration | Completed Earlier , but benefits continued during review period | S$497.3 million | Consolidate low-cost operations under Scoot |

**Air India–Vistara Merger**

SIA exchanged its 49% stake in Vistara and invested approximately S$360 million to acquire a 25.1% stake in the enlarged Air India Group.

**Impact on Sales:**
No direct increase in consolidated revenue as Air India is accounted for using the equity method rather than full consolidation.

**Impact on Profit:**
Generated a one-time gain of approximately S$1.1 billion through revaluation of SIA's existing Vistara stake. The transaction also provides long-term exposure to India's rapidly growing aviation market.

**Impact on Cash Flow from Operations:**
No impact on operating cash flows. The S$360 million investment was recorded under investing activities and funded through internal cash reserves.

**Tiger Airways Integration into Scoot**

**Following full ownership of Tiger Airways, SIA integrated the airline into Scoot.**

**Impact:**

- Improved fleet utilization and operational efficiency.
- Reduced overlapping administrative and regulatory costs.
- Strengthened SIA's position in the low-cost carrier segment.
- Supported improved operating cash flow through cost synergies.

## B.Investments (Excluding Subsidiaries and JVs)

| Key Investments | Purpose |
|---|---|
| Short-term deposits and money market instruments | Liquidity management and capital preservation |
| Pelago | Diversification into travel experiences |
| Kris+ | Expansion of digital and loyalty ecosystem |
| Sustainable Aviation Fuel (SAF) commitments | ESG compliance and future fuel security |

SIA's investment strategy focuses on maintaining liquidity while developing non-aviation revenue streams. Investments such as Pelago and Kris+ reduce dependence on passenger traffic, while SAF commitments support long-term sustainability goals.

## C. Financing Strategy (Last Five Years)

The most significant financing development was SIA's response to the COVID-19 crisis.

| Key Event | Impact |
|---|---|
| Rights Issue & Mandatory Convertible Bonds (MCBs) | Raised liquidity and strengthened equity base |
| Pandemic borrowing | Supported operations during travel shutdown |
| MCB redemption (FY2023–FY2025) | Reduced future dilution and strengthened shareholder value |

During the pandemic, SIA raised capital through rights issues and MCBs supported by Temasek Holdings. As travel demand recovered, strong operating cash flows enabled gradual redemption of MCBs and reduction of debt levels.

**Overall Impact:**

- Improved liquidity during the crisis.
- Preserved investment-grade credit quality.
- Reduced leverage through post-pandemic cash generation.
- Maintained financial flexibility for future growth opportunities.

## CATHAY PACIFIC

## A.Business Acquisition

| Transaction | Period | Value | Strategic Objective |
|---|---|---|---|
| HK Express Acquisition | 2019 (benefits realized during review period) | HK$4.93 billion | Entry into low-cost carrier segment |

| | | | |
|---|---|---|---|
| Cathay Dragon Integration | 2020 | Internal Restructuring | Eliminate Duplicate Options |

**HK Express Acquisition**

Cathay Pacific acquired 100% of HK Express for HK$4.93 billion.

**Impact on Sales:**
Expanded Cathay's presence in the low-cost travel segment and increased passenger volumes following the reopening of Asian travel markets.

**Impact on Profit:**
Initially increased fixed costs during the pandemic but subsequently contributed to the group's return to profitability as demand recovered.

**Impact on Cash Flow from Operations:**
The acquisition initially increased cash outflows and leverage; however, subsequent operational synergies and passenger growth supported cash flow recovery.

Cathay Dragon's routes and assets were integrated into the main Cathay Pacific network.

Impact:

- Reduced operational duplication.
- Lowered administrative costs.
- Improved route efficiency.
- Resulted in a one-time restructuring charge but generated long-term cost savings.

## B.Investments (Excluding Subsidiaries and JVs)

| Investment Area | Purpose |
|---|---|
| Air China (15.09%) | Strategic access to Mainland China market |
| Air China Cargo (21.01%) | Strengthen Cargo business connectivity |
| Digital cargo and logistics ventures | Improve cargo efficiency and technology capabilities |

Cathay's investment strategy focuses on strengthening connectivity with Mainland China while maintaining strong liquidity. Investments in Air China and Air China Cargo remain strategically important for sustaining Hong Kong's hub position.

## C. Financing Strategy (Last Five Years)

| Key Event | Impact |
|---|---|
| HK$39 billion government-backed recapitalization | Stabilized liquidity during the pandemic |
| Preference share issuance | Reduced immediate financing pressure |
| Full redemption of government investment (2024) | Restored financial independence |
| Debt reduction and profit recovery | Improved balance sheet strength |

Cathay received government support through preference shares, warrants, and rights issues during the pandemic. As profitability returned, the company redeemed all government-held instruments and significantly reduced borrowings.

**Overall Impact:**

- Preserved liquidity during severe travel restrictions.
- Enabled business recovery without excessive dilution.
- Reduced leverage to its lowest level in five years.
- Positioned the company for future fleet modernization and growth investments.

## Conclusion:

| **Key Area** | **Singapore Airlines** | **Cathay Pacific** |
|---|---|---|
| Key Acquisition | Air India stake via Vistara merger | HK Express Acquisition |
| Strategic Focus | Expansion to India | Expansion to low cost travel |
| Major Investment Theme | Digital Ecosystem & Sustainability | China Connectivity and Cargo |
| Financing Strategy | MCBs and rights issue backed by Temasek | Govt. preference shares and recapitalization |
| Current Position | Strong profitability and strategic growth platform | Strong balance sheet and restored financial independence |

Both airlines adopted different strategies to navigate the pandemic and position themselves for future growth. Singapore Airlines focused on strategic expansion through Air India and digital diversification, while Cathay Pacific concentrated on low-cost market expansion and balance sheet strengthening. Both companies emerged with improved financial flexibility and strong long-term growth prospects.

## 4. Shareholding and Corporate Governance

### SINGAPORE AIRLINES

#### A. Shareholding Pattern and Major Stockholders

As at 29 May 2025, SIA had 2,971,232,882 ordinary shares in issue (excluding 6,437,526 treasury shares). The Temasek Holdings group — Singapore's sovereign wealth fund — controls 53.52% through two vehicles. One special share is also held by the Minister for Finance, carrying reserved approval rights over strategic transactions affecting SIA's Air Operator Certificate.

| Rank | Shareholder | Shares | % of Total | Type |
|---|---|---|---|---|
| 1 | Napier Investments Pte. Ltd. (Temasek sub.) | 930,959,900 | 31.33% | Direct |
| 2 | Temasek Holdings (Private) Limited | 657,306,600 | 22.12% | Direct |
| 3 | Citibank Nominees Singapore Pte Ltd | 213,152,543 | 7.17% | Nominee / Institutional |
| 4 | DBS Nominees (Private) Limited | 136,527,334 | 4.59% | Nominee / Institutional |
| 5 | Raffles Nominees (Pte.) Limited | 100,500,547 | 3.38% | Nominee / CDP |
| 6 | DBSN Services Pte. Ltd. | 81,240,167 | 2.73% | Nominee |
| 7 | HSBC (Singapore) Nominees Pte Ltd | 72,765,835 | 2.45% | Nominee / Institutional |
| 8 | UOB Nominees (Private) Limited | 42,169,250 | 1.42% | Nominee |
| 9–20 | Other nominees & brokers | 106,296,706 | 3.58% | Various |
| — | Temasek Group Total (direct + deemed) | 1,590,155,897 | 53.52% | Controlling Shareholder |
| — | Public Float | 1,381,076,985 | 46.48% | — |

*Tembusu Capital Pte. Ltd. (also a Temasek subsidiary) is deemed interested in 31.37% via Napier Investments. No second substantial shareholder block exists outside Temasek.*

**B. Distribution Schedule of Shareholders**

| Range of Holdings | No. of Shareholders | % of Shareholders | No. of Shares | % of Shares |
|---|---|---|---|---|
| 1 – 99 | 625 | 0.68% | 24,672 | 0.00% |
| 100 – 1,000 | 26,178 | 28.34% | 18,447,639 | 0.62% |
| 1,001 – 10,000 | 53,563 | 57.98% | 222,666,989 | 7.50% |
| 10,001 – 1,000,000 | 11,983 | 12.97% | 365,472,843 | 12.30% |
| 1,000,001 and above | 29 | 0.03% | 2,364,620,739 | 79.58% |
| **Total** | 92,378 | 100.00% | 2,971,232,882 | 100.00% |

86.32% of shareholders hold between 100–10,000 shares, yet the top 29 holders account for 79.58% of all shares — characteristic of a large-cap SGX blue chip with a broad retail base alongside institutional concentration.

**Free Float (May 2025):** 1,381,076,985 shares = 46.29% — complies with SGX-ST Rule 723 (minimum 10%)

**Pledged Shares:** Nil — no controlling or substantial shareholder has disclosed any pledge of SIA shares as at 29 May 2025 (SGX Rule 1207(18) applies)

**Treasury Shares**: 6,437,526 shares (0.22% of gross capital) held for employee share plan purposes; carry no voting rights or dividends

**C. Institutional Holding**

SGX-ST rules require SIA to publish its Top-20 shareholders by name, giving direct visibility into institutional custody. The six major nominee holders in the top 8 — Citibank, DBS, Raffles, DBSN, HSBC, and UOB — collectively hold approximately 21.74% of total shares, representing domestic and international institutional mandates. SIA's inclusion in the STI index and MSCI indices ensures ongoing passive fund ownership (Vanguard, BlackRock iShares, State Street). No single institutional manager outside Temasek crosses the 5% substantial shareholder threshold.

**D. Board Governance**

**Board Composition**

**10 Directors:** 1 Executive Director (CEO Goh Choon Phong), 1 Non-Independent NED (Gautam Banerjee, re- designated after 9 years under Rule 210(5)(d)(iv)), and 8 Independent NEDs including Chairman Peter Seah — representing 80% board independence, far exceeding the SGX-ST one-third minimum.

**Committees**

**6 committees:** Board Executive Committee (ExCo), Audit, Compensation & Industrial Relations, Nominating, Safety & Risk, and Customer Experience/Technology/Sustainability. ExCo also functions as the Share Buy Back Committee.

**Special Share & Compliance**

The Minister for Finance holds one special share with veto rights over certain strategic decisions (e.g. change of control). Full compliance with the Singapore Code of Corporate Governance 2018. Total FY2024/25 dividend: S$0.58/share (interim S$0.28 + final S$0.30). Auditor: KPMG LLP.

## CATHAY PACIFIC

### A. Shareholding Pattern and Major Stockholders

As at 31 December 2025, Cathay had 6,722,856,511 ordinary shares in issue. Ownership is highly concentrated: Swire Pacific and Air China together hold 71.80% under a formal shareholders' agreement dating from June 2006. Qatar Airways held a further 9.57% stake, which was bought back off-market in February 2026 and subsequently cancelled.

| # | Shareholder | Shares Held | % of Votes | Basis |
|---|---|---|---|---|
| 1 | Swire Pacific Limited | 2,896,753,089 | 43.09% | Direct / Shareholder Agreement |
| 2 | Air China Limited | 1,930,516,334 | 28.72% | Attributable / Shareholder Agreement |
| 3 | Qatar Airways Group | 643,076,181 | 9.57% | Beneficial (bought back Feb 2026) |
| 4 | Public Shareholders | 1,252,510,907 | 18.63% | Free Float (Dec 2025) |
| | **Total Issued** | 6,722,856,511 | 100.00% | — |

***CNAHC (holding company of Air China) is deemed interested in the same 28.72% as Air China. Swire + Air China combined interest***
***= 71.80% under the 2006 shareholders' agreement.***

### B. Distribution Schedule of Shareholders

**Free Float (Dec 2025):** 1,252,510,907 shares = 18.63% (rising to ~22.4% after Qatar buyback completion)

**Minimum Float Waiver:** HKEx granted Cathay a Public Float Waiver in June 2025 permitting float down to 16.7% post-buyback

**Pledged Shares:** Nil — no strategic shareholder has disclosed pledging of Cathay Pacific shares as at 31 December 2025

**Treasury Shares:** 643M shares (Qatar buy-back batch) held as treasury, approved for cancellation March 2026

### C. Institutional Holding

HKEx Listing Rules require notification only above the 5% threshold; the annual report does not disaggregate the 18.63% public float by investor type. Based on standard HKEx institutional participation in large-cap blue chips, an estimated 60–75% of the free float (~11–14% of total shares) is held by institutional fund managers via global custodians. No single institutional manager outside the Swire/Air China blocks crosses the 5% mandatory disclosure threshold, so no individual fund holdings are publicly named.

### D. Board Governance

**Board Composition (as at Annual Report date)**

**17 Directors total:** 5 Executive Directors (Chair Patrick Healy + 4 senior executives incl. CEO Ronald Lam), 8 Non- Executive Directors (Swire/Air China nominees), and 4 Independent NEDs (Bernard Chan, Lily Cheng, Christoph Mueller, Wang Xiao Bin). HKEx granted a waiver from Rule 3.10A (minimum one-third INEDs) given the dual-anchor ownership structure. Chair and CEO roles are separated.

**Committees : 9 board committees:** Audit, Board Risk, Board Safety Review, Executive, Finance, Investment, Management, Nomination, Remuneration, and Sustainability Leadership Group — covering full scope of governance, risk, and ESG oversight.

**Key Observations :**

**1.Ownership Concentration:** Cathay's dual-anchor structure (71.80% in two blocks) results in a far thinner free float (18.63%) versus SIA's 46.29%. SIA's single Temasek group holding, though larger at 53.52%, still leaves a healthier float for institutional participation.

**2.Board Independence:** SIA's 80% independent board materially outperforms Cathay's 23.5%. Both comply with local codes, but the gap reflects the structural reality of Cathay's dual-shareholder model, which requires significant NED representation from both Swire and Air China camps.

**3.Pledging Risk:** Neither company's controlling shareholders have pledged their stakes — a positive governance signal eliminating forced-sale overhang risk at both carriers.

**4.Nature of State Control:** SIA's government link operates through a commercial investment mandate (Temasek) plus a discrete reserved-rights special share. Cathay's state exposure flows through Air China (a state-owned enterprise), creating a more complex dynamic as Air China is simultaneously a shareholder, a codeshare partner, and a direct competitor.

**5.Institutional Visibility:** SIA's mandatory Top-20 disclosure provides granular insight into its institutional base (~21.7% in nominee accounts). Cathay's HKEx regime requires no equivalent list, making institutional ownership opaque beyond the two anchor blocks.

| Shareholding Dimension | Cathay Pacific (HKEx) | Singapore Airlines (SGX) |
|---|---|---|
| Controlling Shareholder | Swire Pacific (43.09%) | Temasek Holdings (53.52%) |
| Second Strategic Block | Air China (28.72%) | None |
| Combined Strategic Control | 71.80% (S'holders' Agreement) | 53.52% (single Temasek group) |
| Any Holder >5% outside block | Qatar Airways — 9.57% (since cancelled) | None |
| Free Float | 18.63% (Dec 2025); ~22.4% post-buyback | 46.29% (May 2025) |
| Treasury Shares | 643M (Qatar buyback; for cancellation) | 6.44M (0.22%) |
| Pledged Shares | Nil disclosed | Nil disclosed |
| Govt. Involvement | Indirect via Air China (state-owned enterprise) | Direct via Temasek + Special Share (Min. Finance) |
| Disclosure Regime | HKEx/SFO — 5% threshold; no Top-20 required | SGX-ST — 5% threshold + mandatory Top-20 list |

| Governance Dimension | Cathay Pacific | Singapore Airlines |
|---|---|---|
| Board Size | 17 Directors | 10 Directors |
| Independent Directors | 4 of 17 (23.5%) — waiver granted | 8 of 10 (80%) — strong independence |
| Chair / CEO Separation | Yes (Healy / Lam) | Yes (Seah / Goh) |
| No. of Committees | 9 | 6 |
| Governance Code | HK CG Code — full compliance | SG Code of CG 2018 — full compliance |
| Dividend (latest FY) | HK$0.84/share | S$0.58/share |
| Auditor | KPMG | KPMG LLP |

# 5. Segment Reporting and Group Structure

### Basis of Comparison

This report compares the segment structure, segment performance and group structure of two of Asia's leading full-service network carriers. Both groups operate a similar strategic model — a premium full-service flag carrier, a separate low-cost subsidiary, dedicated cargo operations, and a portfolio of associates and joint ventures — which makes them natural competitors to benchmark against one another.

Two points must be kept in mind throughout. First, the **reporting periods differ**: Singapore Airlines ("SIA") reports to a 31 March year-end (FY2024/25), while Cathay Pacific ("CX" / the "Cathay Group") reports to a 31 December year-end (FY2025) — an offset of roughly nine months. Second, the two groups **report in different currencies** (SIA in Singapore dollars, S$; Cathay in Hong Kong dollars, HK$). Cross-airline comparisons therefore rely mainly on **currency-neutral measures** — growth rates, margins and segment mix — with approximate US$ conversions shown only to indicate relative scale.

**Note on the five-year requirement:** both companies disclose segment revenue, result and assets for only **two financial years** in their statutory accounts. A full five-year segment trend cannot be reconstructed from these documents without estimation, so the growth figures below are the latest reported year-on-year movements, benchmarked against IATA full-year 2025 industry data.

## 2. Group Structure, Subsidiaries, Associates & Joint Ventures

Both groups are organised as a parent airline holding a set of wholly or majority-owned operating subsidiaries (consolidated line-by-line), plus minority stakes in associates and joint ventures that are equity-accounted (only the group's share of profit is recognised).

### 2.1 Singapore Airlines

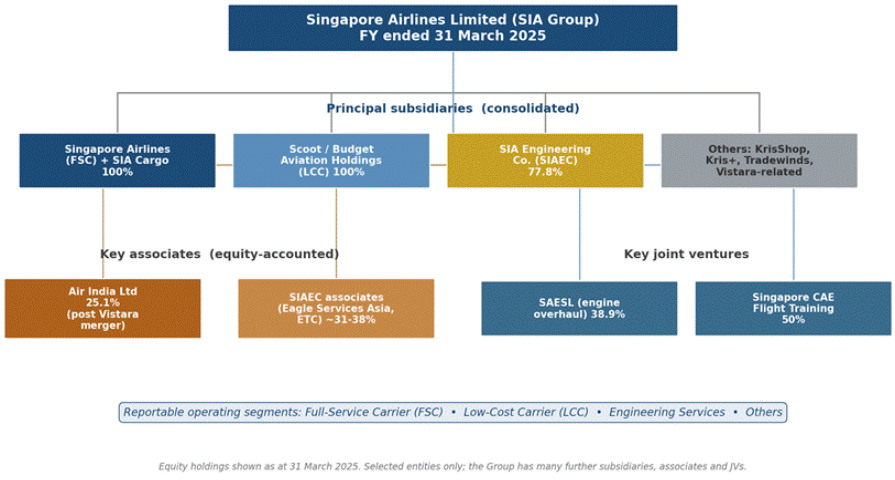


*Figure 1 — Singapore Airlines group structure (selected entities, equity interests at 31 March 2025).*

**Principal subsidiaries:** the core **Full-Service Carrier** (Singapore Airlines passenger and cargo operations, with Singapore Airlines Cargo re-integrated into the parent); **Scoot** (held via Budget Aviation Holdings), the group's low-cost carrier; and **SIA Engineering Company (SIAEC, 77.8%)**, which provides airframe maintenance, repair and overhaul (MRO). Smaller subsidiaries — KrisShop, the Kris+ lifestyle app, Tradewinds Tours & Travel and the in-house insurer — sit in the "Others" segment.

**Associates and joint ventures:** the headline change in FY2024/25 is **Air India**. Following the merger of Vistara (the former 49%-held TATA SIA Airlines) into Air India in November 2024, SIA now holds a **25.1% associate stake in the enlarged Air India**. This transaction crystallised a one-off gain of S$1,097.9m and lifted the carrying value of associates from S$780.5m to S$2,865.2m. SIAEC contributes a network of MRO associates (e.g. Eagle Services Asia ~31–38%). The principal joint venture is **Singapore Aero Engine Services (SAESL, 38.9%)**, described by the group as strategic to its engine-overhaul activities, alongside Singapore CAE Flight Training (50%).

## 2.2 Cathay Pacific

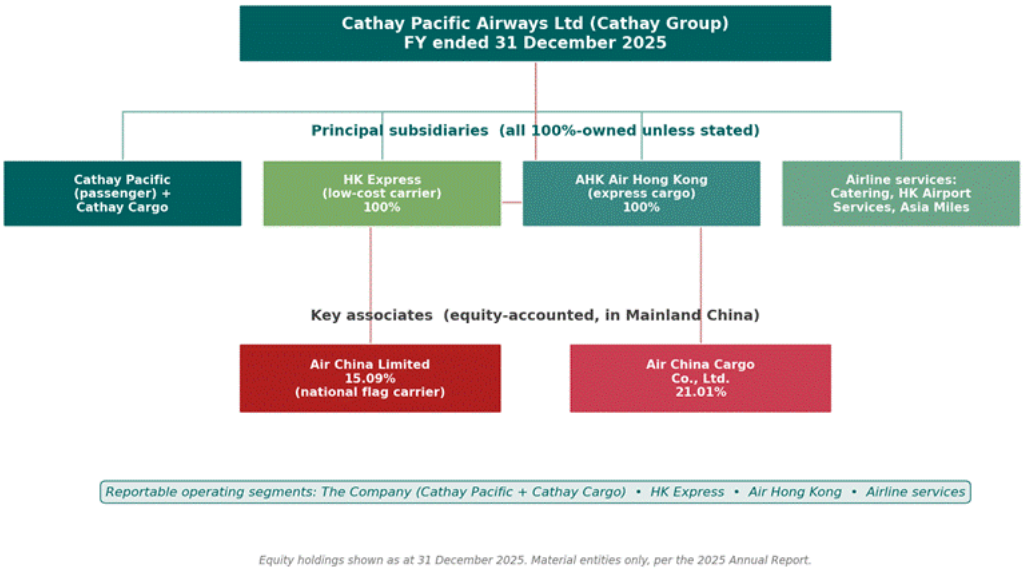



*Figure 2 — Cathay Group structure (material entities, equity interests at 31 December 2025).*

**Principal subsidiaries (all 100%-owned):** the parent **Cathay Pacific** operates passenger services and the Cathay Cargo business; **HK Express** is Hong Kong's only low-cost carrier; **AHK Air Hong Kong** is an all-cargo express airline. A cluster of support businesses — Cathay Pacific Catering Services, Hong Kong Airport Services, the Asia Miles loyalty programme, Cathay Holidays, Vogue Laundry and several aircraft-financing vehicles — make up the "Airline services" segment.

**Associates:** Cathay's most significant equity investment is its **15.09% stake in Air China Limited**, the Mainland's national flag carrier, complemented by a **21.01% interest in Air China Cargo**. These holdings give Cathay strategic exposure to the large Mainland China market; the share of associates' profits (HK$529m in FY2025) is reported as a corporate item outside the operating segments.

## 3. Reportable Business Segments

Both groups determine segments by the nature of the business, as reviewed by their respective executive management. The structures map closely onto each other:

| Business activity | Singapore Airlines | Cathay Group |
|---|---|---|
| Full-service flag carrier (+ cargo) | Full-Service Carrier (FSC) | The Company (Cathay Pacific + Cathay Cargo) |
| Low-cost carrier | Low-Cost Carrier (Scoot) | HK Express |
| Dedicated air cargo | (within FSC) | Air Hong Kong (express freighter) |
| Engineering / MRO / support | Engineering Services (SIAEC) | Airline services (catering, ground, loyalty) |
| Other lifestyle / non-core | Others | (within Airline services) |

A structural difference worth noting: SIA reports cargo *inside* the Full-Service Carrier segment, whereas Cathay splits out a separate freighter airline (Air Hong Kong). SIA also carries a distinct, listed engineering business (SIAEC) as a reportable segment, while Cathay folds its catering and ground-handling support into "Airline services".

## 4. Segment Analysis — Sales, Profit & Assets

### 4.1 Singapore Airlines (S$ million, FY2024/25 vs FY2023/24)

| Segment | Ext. revenue FY24/25 | Ext. revenue FY23/24 | Revenue growth | Segment result FY24/25 |
|---|---|---|---|---|
| Full-Service Carrier | 16,676.9 | 16,120.6 | +3.5% | 1,668.9 |
| Low-Cost Carrier (Scoot) | 2,255.9 | 2,359.5 | −4.4% | 35.8 |
| Engineering (SIAEC) | 521.6 | 449.1 | +16.1% | 14.6 |
| Others | 85.4 | 83.5 | +2.3% | (18.1) |
| **Total of segments** | **19,539.8** | **19,012.7** | **+2.8%** | **1,701.2** |

*Segment assets at 31 March 2025 (S$m, % of total): FSC 34,748.2 (81.6%), Scoot 5,944.3 (14.0%), SIAEC 1,294.0 (3.0%), Others 588.3 (1.4%); total of segments 42,574.8.*

**Reading the table:** FSC revenue grew a modest +3.5%, but the segment **result fell sharply (−36.7%, from 2,635.2 to 1,668.9)** as higher staff and fuel costs and softer yields compressed margins. Scoot's revenue and profit both declined, and the small "Others" segment remained loss-making. The only segment to improve materially was SIAEC, reflecting the post-pandemic recovery in MRO demand. FSC dominates the group, contributing roughly 85% of external revenue and 82% of segment assets.

### 4.2 Cathay Group (HK$ million, FY2025 vs FY2024)

| Segment | Ext. revenue 2025 | Ext. revenue 2024 | Revenue growth | Segment profit/(loss) 2025 |
|---|---|---|---|---|
| The Company (CX + cargo) | 105,631 | 93,551 | +12.9% | 13,791 |
| HK Express (LCC) | 6,778 | 6,325 | +7.2% | (996) |
| Air Hong Kong (cargo) | 3,222 | 3,375 | −4.5% | 954 |
| Airline services | 1,135 | 1,120 | +1.3% | 709 |
| **Total** | **116,766** | **104,371** | **+11.9%** | **14,458** |

**Reading the table:** Cathay's core "Company" segment grew strongly (+12.9%) as the carrier continued rebuilding capacity, and its profit rose to HK$13,791m. The standout problem is **HK Express, whose loss widened from HK$204m to HK$996m** — the low-cost unit added capacity (passenger traffic up ~25%) faster than it could fill it profitably. Air Hong Kong's cargo revenue dipped −4.5% but it stayed solidly profitable, while "Airline services" profit jumped on the recovery of catering and ground operations. "The Company" accounts for ~90% of external revenue.

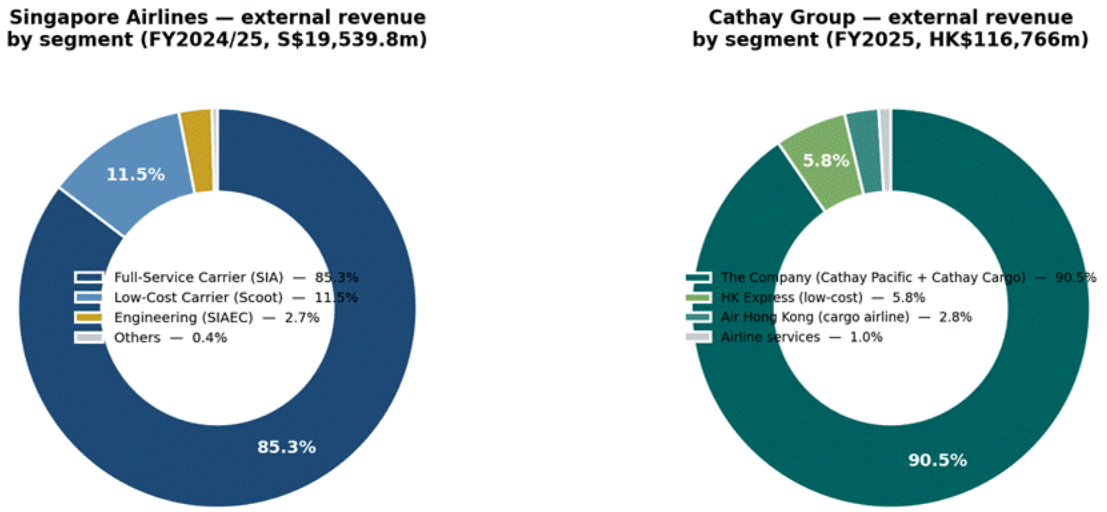



*Figure 3 — Segment external-revenue mix. Both groups are heavily concentrated in their flag carrier; Cathay is even more concentrated (90.5%) than SIA (85.3%).*

## 5. Segment Growth vs. Industry & Competitor

IATA full-year 2025 data provide the industry benchmark: global passenger demand (RPK) **rose 5.3%** (international +7.1%), and global air-cargo demand (CTK) **rose 3.4%** (international +4.2%). Asia-Pacific carriers were the fastest-growing region in both passenger and cargo. Comparing each group's segment revenue growth against these benchmarks (Figure 4) shows how each is tracking the market — noting this contrasts a revenue figure against a traffic figure, so it is indicative rather than exact.

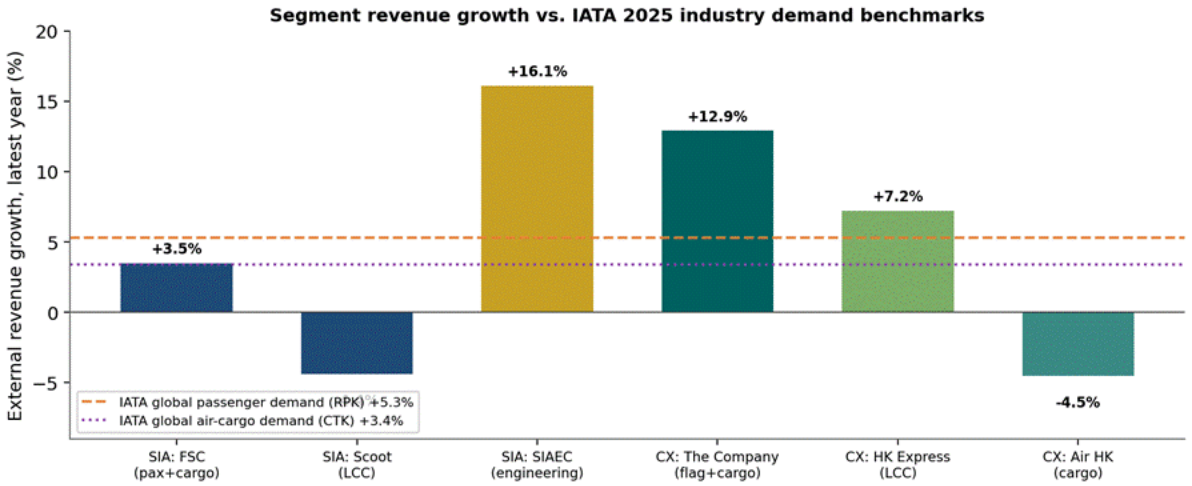



*Figure 4 — Segment external-revenue growth vs. IATA 2025 demand benchmarks (dashed = passenger +5.3%, dotted = cargo +3.4%).*

- **Cathay's flag carrier (+12.9%) far outpaced the industry**, because it was still recovering capacity from a lower base than SIA, which had already largely normalised.
- **SIA's FSC (+3.5%) grew below the industry passenger rate** — consistent with a carrier operating near full recovery, where growth slows to market pace.
- **SIAEC engineering (+16.1%)** was the strongest segment of either group, riding the global MRO upcycle (not directly an IATA-traffic metric).
- **Both low-cost units underperformed in profit**: Scoot's revenue fell while HK Express's losses widened, showing the competitive pressure in budget travel.
- **Cargo lagged**: Air Hong Kong (−4.5%) fell against +3.4% industry cargo growth, reflecting freighter-network and trade-lane shifts (e.g. weaker Asia–North America flows).

## 6. Group-Level Financial Comparison

| Metric (latest FY) | Singapore Airlines | Cathay Group | Comment |
|---|---|---|---|
| Revenue | S$19,539.8m (+2.8%) | HK$116,766m (+11.9%) | CX growing faster off a lower base |
| Operating profit | S$1,709.1m (−37.3%) | HK$14,458m (+3.8%) | SIA margin squeezed by costs |
| Operating margin | 8.7% | 12.4% | CX more profitable operationally |
| Net profit (attrib.) | S$2,778.0m | HK$10,828m | SIA includes S$1,097.9m one-off gain |
| Total assets | S$43,086.8m | HK$177,051m | — |
| Total equity | S$16,070.0m | HK$60,117m | SIA more strongly capitalised |

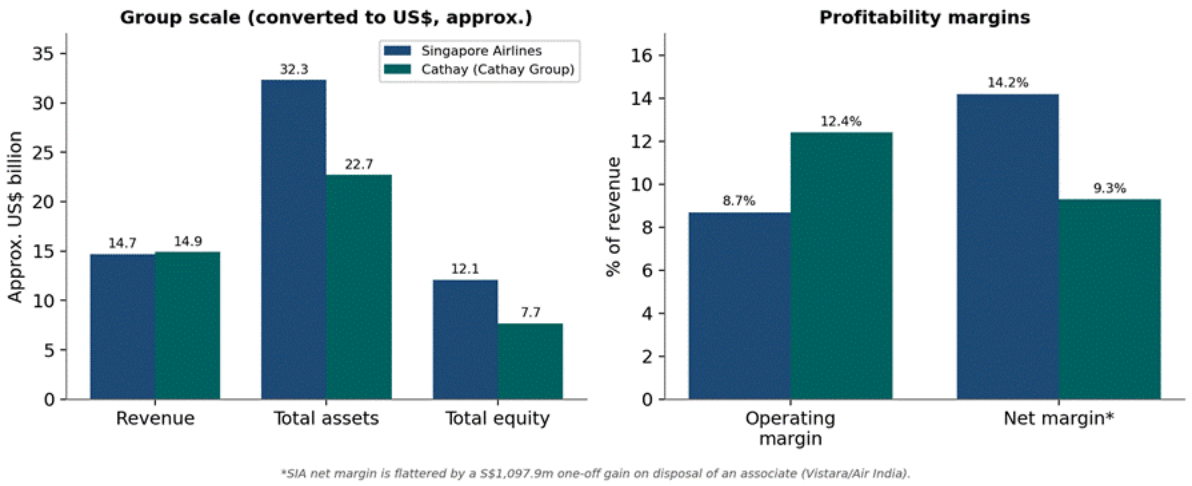



*Figure 5 — Group scale (approx. US$) and profitability margins. Conversions use approximate rates S$1≈US$0.75 and HK$1≈US$0.128 and are indicative of scale only.*

On a currency-neutral view the two groups are **similar in revenue scale (~US$15bn each)**, but their results diverge in quality. **Cathay earned the higher operating margin (12.4% vs 8.7%)**, driven by strong capacity recovery in its core airline. SIA's headline net profit looks larger relative to revenue, but this is **flattered by the one-off Air India/Vistara gain** of S$1,097.9m; excluding it, SIA's underlying earnings declined year-on-year as cost inflation outran a modest revenue rise. SIA carries the **larger and more conservatively financed balance sheet** (higher assets and roughly 1.5× Cathay's equity in US$ terms), partly reflecting its bigger fleet and the enlarged associate investment in Air India.

## 7. Key Takeaways

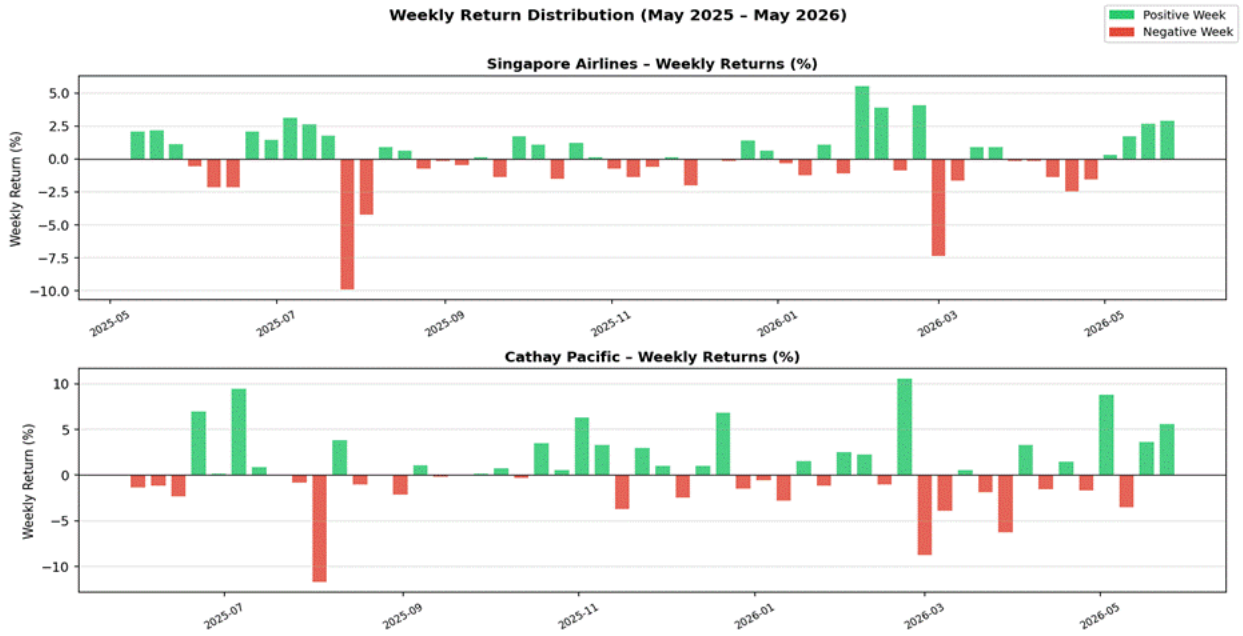
- Both groups run a near-identical portfolio model — premium flag carrier + low-cost subsidiary + cargo + engineering/support — but Cathay is even more revenue-concentrated in its flag carrier (90.5%) than SIA (85.3%).
- The flag-carrier segment dominates revenue, assets and profit for both; everything else is comparatively marginal.
- Cathay delivered stronger operating momentum in its latest year (revenue +11.9%, operating margin 12.4%), still benefiting from capacity recovery; SIA, already largely recovered, grew at industry pace and saw operating profit fall on cost inflation.
- Low-cost carriers are the weak spot for both: Scoot's revenue contracted and HK Express's losses widened sharply.
- Strategic associates define each group's regional bet: SIA's 25.1% of Air India (post-Vistara merger) versus Cathay's 15.09% of Air China — both giving exposure to the large Indian and Chinese markets respectively.
- SIA holds the stronger balance sheet and capital base; Cathay shows the stronger underlying operating recovery.

## 6. Stock Market Analysis

This report compares the stock performance of two of Asia's flagship premium airlines over a one-year period from May 2025 to May 2026. The two companies are:

- **Cathay Pacific Airways (HKG: 0293)** - Hong Kong's flagship carrier, listed on the Hong Kong Stock Exchange. Prices are in Hong Kong Dollars (HKD).
- **Singapore Airlines (SGX: C6L)** - Singapore's national carrier, listed on the Singapore Exchange. Prices are in Singapore Dollars (SGD).

### A. Weekly Price & Return Data Tables




***Weekly return distribution for Singapore Airlines (top) and Cathay Pacific (bottom). Green bars = positive weeks; red bars = negative weeks.***

## Singapore Airlines (SGX: C6L) — Weekly Data

| Week Ending | Closing Price | Weekly Change (%) |
|---|---|---|
| 11 May 2025 | 6.90 | +2.07% |
| 18 May 2025 | 7.05 | +2.17% |
| 25 May 2025 | 7.13 | +1.13% |
| 01 Jun 2025 | 7.09 | -0.56% |
| 08 Jun 2025 | 6.94 | -2.12% |
| 15 Jun 2025 | 6.79 | -2.16% |

| | | |
|---|---|---|
| 22 Jun 2025 | 6.93 | +2.06% |
| 29 Jun 2025 | 7.03 | +1.44% |
| 06 Jul 2025 | 7.25 | +3.13% |
| 13 Jul 2025 | 7.44 | +2.62% |
| 20 Jul 2025 | 7.57 | +1.75% |
| 27 Jul 2025 | 6.82 | -9.91% |
| 03 Aug 2025 | 6.53 | -4.25% |
| 10 Aug 2025 | 6.59 | +0.92% |
| 17 Aug 2025 | 6.63 | +0.61% |
| 24 Aug 2025 | 6.58 | -0.75% |
| 31 Aug 2025 | 6.57 | -0.15% |
| 07 Sep 2025 | 6.54 | -0.46% |
| 14 Sep 2025 | 6.55 | +0.15% |
| 21 Sep 2025 | 6.46 | -1.37% |
| 28 Sep 2025 | 6.57 | +1.70% |
| 05 Oct 2025 | 6.64 | +1.07% |
| 12 Oct 2025 | 6.54 | -1.51% |
| 19 Oct 2025 | 6.62 | +1.22% |
| 26 Oct 2025 | 6.63 | +0.15% |
| 02 Nov 2025 | 6.58 | -0.75% |
| 09 Nov 2025 | 6.49 | -1.37% |
| 16 Nov 2025 | 6.45 | -0.61% |
| 23 Nov 2025 | 6.46 | +0.15% |
| 30 Nov 2025 | 6.33 | -2.01% |
| 07 Dec 2025 | 6.33 | 0.00% |
| 14 Dec 2025 | 6.32 | -0.16% |
| 21 Dec 2025 | 6.41 | +1.42% |
| 28 Dec 2025 | 6.45 | +0.62% |

| | | |
|---|---|---|
| 04 Jan 2026 | 6.43 | -0.31% |
| 11 Jan 2026 | 6.35 | -1.24% |
| 18 Jan 2026 | 6.42 | +1.10% |
| 25 Jan 2026 | 6.35 | -1.09% |
| 01 Feb 2026 | 6.70 | +5.51% |
| 08 Feb 2026 | 6.96 | +3.88% |
| 15 Feb 2026 | 6.90 | -0.86% |
| 22 Feb 2026 | 7.18 | +4.06% |
| 01 Mar 2026 | 6.65 | -7.38% |
| 08 Mar 2026 | 6.54 | -1.65% |
| 15 Mar 2026 | 6.60 | +0.92% |
| 22 Mar 2026 | 6.66 | +0.91% |
| 29 Mar 2026 | 6.65 | -0.15% |
| 05 Apr 2026 | 6.64 | -0.15% |
| 12 Apr 2026 | 6.55 | -1.36% |
| 19 Apr 2026 | 6.39 | -2.44% |
| 26 Apr 2026 | 6.29 | -1.56% |
| 03 May 2026 | 6.31 | +0.32% |
| 10 May 2026 | 6.42 | +1.74% |
| 17 May 2026 | 6.59 | +2.65% |
| 24 May 2026 | 6.78 | +2.88% |

**Cathay Pacific (HKG: 0293) — Weekly Data**

| Week Ending | Closing Price | Weekly Change (%) |
|---|---|---|
| 01 Jun 2025 | 10.42 | -1.33% |
| 08 Jun 2025 | 10.30 | -1.15% |
| 15 Jun 2025 | 10.06 | -2.33% |

| | | |
|---|---|---|
| 22 Jun 2025 | 10.76 | +6.96% |
| 29 Jun 2025 | 10.78 | +0.19% |
| 06 Jul 2025 | 11.80 | +9.46% |
| 13 Jul 2025 | 11.90 | +0.85% |
| 20 Jul 2025 | 11.90 | 0.00% |
| 27 Jul 2025 | 11.80 | -0.84% |
| 03 Aug 2025 | 10.42 | -11.69% |
| 10 Aug 2025 | 10.82 | +3.84% |
| 17 Aug 2025 | 10.71 | -1.02% |
| 24 Aug 2025 | 10.71 | 0.00% |
| 31 Aug 2025 | 10.48 | -2.15% |
| 07 Sep 2025 | 10.59 | +1.05% |
| 14 Sep 2025 | 10.57 | -0.19% |
| 21 Sep 2025 | 10.57 | 0.00% |
| 28 Sep 2025 | 10.59 | +0.19% |
| 05 Oct 2025 | 10.67 | +0.76% |
| 12 Oct 2025 | 10.64 | -0.28% |
| 19 Oct 2025 | 11.01 | +3.48% |
| 26 Oct 2025 | 11.07 | +0.54% |
| 02 Nov 2025 | 11.77 | +6.32% |
| 09 Nov 2025 | 12.16 | +3.31% |
| 16 Nov 2025 | 11.71 | -3.70% |
| 23 Nov 2025 | 12.06 | +2.99% |
| 30 Nov 2025 | 12.18 | +1.00% |
| 07 Dec 2025 | 11.88 | -2.46% |
| 14 Dec 2025 | 12.00 | +1.01% |
| 21 Dec 2025 | 12.82 | +6.83% |
| 28 Dec 2025 | 12.63 | -1.48% |

| | | |
|---|---|---|
| 04 Jan 2026 | 12.56 | -0.55% |
| 11 Jan 2026 | 12.21 | -2.79% |
| 18 Jan 2026 | 12.40 | +1.56% |
| 25 Jan 2026 | 12.26 | -1.13% |
| 01 Feb 2026 | 12.57 | +2.53% |
| 08 Feb 2026 | 12.85 | +2.23% |
| 15 Feb 2026 | 12.72 | -1.01% |
| 22 Feb 2026 | 14.06 | +10.53% |
| 01 Mar 2026 | 12.83 | -8.75% |
| 08 Mar 2026 | 12.33 | -3.90% |
| 15 Mar 2026 | 12.40 | +0.57% |
| 22 Mar 2026 | 12.17 | -1.85% |
| 29 Mar 2026 | 11.41 | -6.24% |
| 05 Apr 2026 | 11.79 | +3.33% |
| 12 Apr 2026 | 11.61 | -1.53% |
| 19 Apr 2026 | 11.78 | +1.46% |
| 26 Apr 2026 | 11.58 | -1.70% |
| 03 May 2026 | 12.60 | +8.81% |
| 10 May 2026 | 12.16 | -3.49% |
| 17 May 2026 | 12.60 | +3.62% |
| 24 May 2026 | 13.30 | +5.56% |

## B. Price Metrics Comparison

| Metric | Singapore Airlines (SGD) | Cathay Pacific (HKD) |
|---|---|---|
| Starting Price (May 2025) | SGD 6.90 | HKD 10.42 |
| Ending Price (May 2026) | SGD 6.78 | HKD 13.30 |

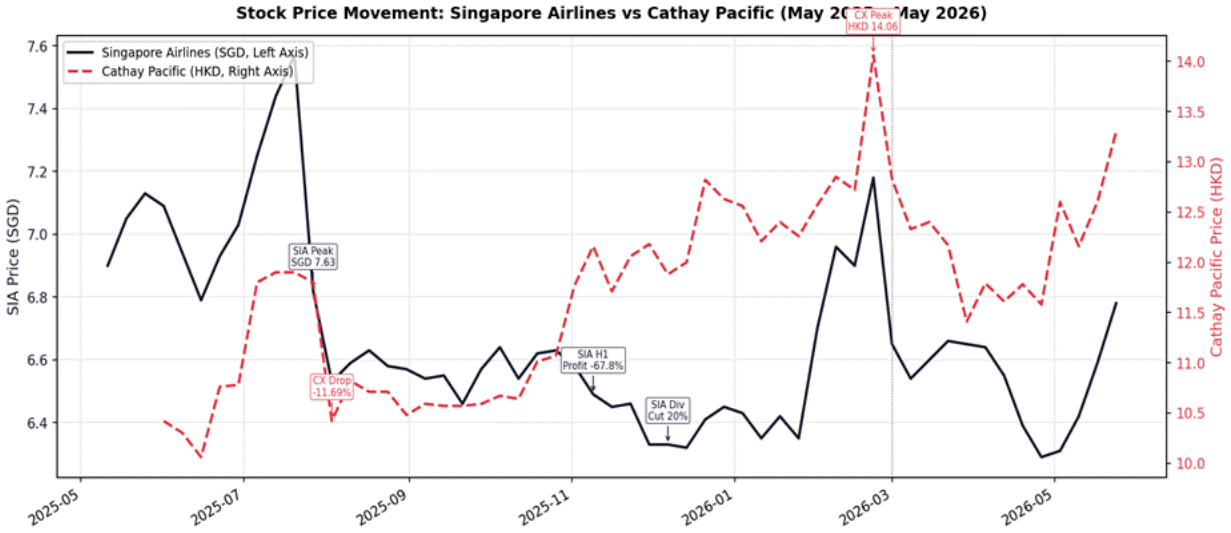
| | | |
|---|---|---|
| Total Return | -1.74% | +27.64% |
| 52-Week High | SGD 7.57 | HKD 14.06 |
| 52-Week Low | SGD 6.29 | HKD 10.06 |
| Avg. Weekly Return | +0.04% | +0.53% |
| Best Single Week | +5.51% (01 Feb 2026) | +10.53% (22 Feb 2026) |
| Worst Single Week | -9.91% (27 Jul 2025) | -11.69% (03 Aug 2025) |
| Weekly Std Dev | 2.48% | 4.06% |
| Annualised Volatility | 17.86% | 29.27% |
| Market Index Benchmark | STI (approx. +5%) | HSI (approx. +15%) |
| vs. Market Index | Underperformed (-6.74pp) | Outperformed (+12.64pp) |

**Cathay Pacific:**

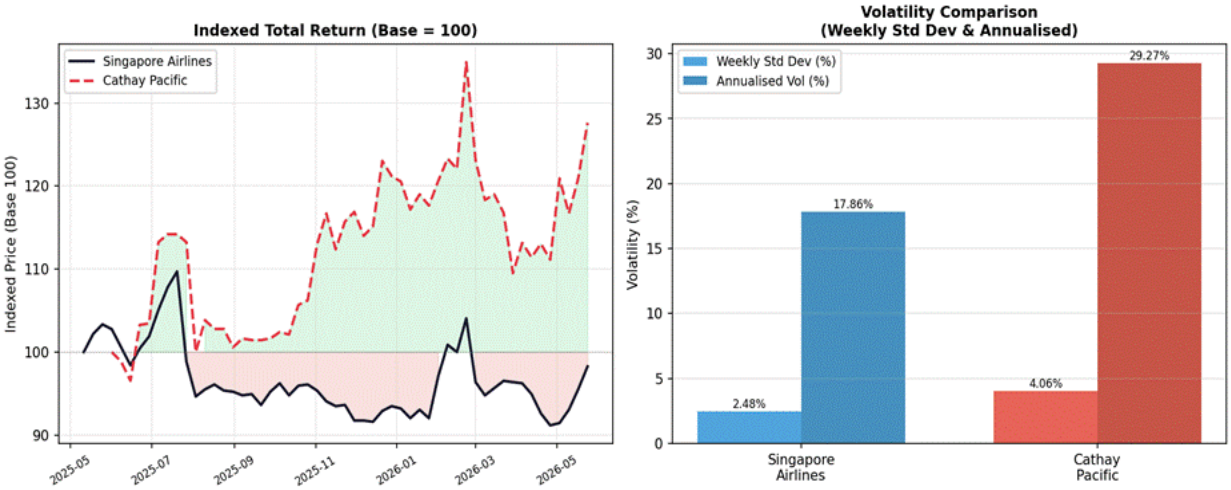
Cathay Pacific began the period at HKD 10.42, fell to a trough of HKD 10.06 in mid-June 2025, then staged a sharp recovery. By early July 2025, it had surged to HKD 11.80 (+9.46% in a single week) before suffering a severe drop on 03 August 2025 (-11.69% in one week). The stock recovered steadily through Q4 2025, reaching its 52-week peak of HKD 14.06 in the week of 22 February 2026 (+10.53%). Middle East tensions then caused a pullback to HKD 11.41 by 29 March 2026 before a strong final recovery to close at HKD 13.30, delivering a total return of +27.64%.

**Singapore Airlines:**

Singapore Airlines began at SGD 6.90 and initially rose to a 52-week high of SGD 7.57 in late July 2025 on strong summer travel demand. However, the stock fell sharply the following week (-9.91%), initiating a sustained downtrend driven by growing awareness of the Air India loss exposure. SIA hit a multi-month low of SGD 6.29 in late April 2026, recovering modestly to SGD 6.78 by 24 May 2026 — still below its starting price, yielding a total return of -1.74%.




*Weekly closing price of Singapore Airlines (SGD, left axis) and Cathay Pacific (HKD, right axis) with key event annotations, May 2025 – May 2026.*




*Indexed total return (Base = 100) and volatility comparison for both airlines.*

## Volatility Results

| Metric | Singapore Airlines | Cathay Pacific |
|---|---|---|
| Weekly Std Dev | 2.48% | 4.06% |
| Annualised Volatility (x sqrt 52) | 17.86% | 29.27% |

| | | |
|---|---|---|
| Beta (5Y Monthly) | 0.50 (confirmed) | ~0.7 (estimated) |
| Interpretation | Moderate — blue-chip, Temasek-backed | High — reactive, macro-sensitive |

Cathay Pacific's annualised volatility of 29.27% is classified as high for an airline stock. Individual weeks ranged from a drop of 11.69% (August 2025) to a gain of 10.53% (February 2026). This makes it well-suited to active traders seeking large price movements, but stressful for income-oriented or conservative investors. Singapore Airlines' annualised volatility of 17.86% is moderate. Its steadier performance reflects its blue-chip status on the Singapore Exchange and significant institutional backing — Temasek Holdings, the Singaporean sovereign wealth fund, holds a majority stake. Despite this stability, SIA's negative return over the period underlines that low volatility does not protect investors from fundamental earnings headwinds.The key takeaway is the classic risk-reward trade-off: Cathay Pacific was the higher-risk, higher-reward option, while Singapore Airlines offered greater stability but delivered a negative return due to company-specific fundamental pressures.

## C.Major Corporate Announcements (May 2025 – May 2026)

The table below summarises the significant corporate and macro events that influenced stock price movements during the analysis period.

| Airline | Date | Announcement | Stock Impact |
|---|---|---|---|

| | | | |
|---|---|---|---|
| SIA | Jul 2025 | 52-week high reached at SGD 7.57 on strong summer travel demand | Positive — peak for the year |
| SIA | Nov 2025 | H1 FY2026 Results: net profit down 67.8% to SGD 239M; record revenue of SGD 9.675B but Air India drag crushes profitability | Negative — stock slipped below SGD 6.40 |
| SIA | Dec 2025 | Dividend cut 20% to SGD 0.08/share; 3-year special dividend plan of SGD 0.10/share announced to soften investor impact | Mildly negative — softened by special dividend plan |
| CX | Feb 2026 | Cathay Pacific reaches 52-week high of HKD 14.06 driven by strong cargo revenue and route expansion momentum | Highly positive — peak week return +10.53% |
| CX | Mar 2026 | Cathay Pacific 2025 Annual Results: 36M+ passengers (+27% YoY); cargo revenue HKD 24.3B; second interim dividend declared | Positive — dividend reassures investors |
| Both | Mar 2026 | Iran/Middle East tensions trigger global airline sector selloff; fuel cost fears and travel demand concerns hit both stocks | Negative — CX dropped to HKD 11.41; SIA hit 52-wk low of SGD 5.90 (Mar 2026) |
| SIA | May 2026 | Full-year FY2026: net profit SGD 1.2B (-57.4%), record revenue SGD 20.5B; Scoot A320neo fleet expansion announced | Mildly positive — market focused on record revenue |

| | | | |
|---|---|---|---|
| CX | May 2026 | AGM: new Chairman Guy Bradley appointed; 10% share buyback mandate and capital reduction approved by shareholders | Positive — stock surged to HKD 13.30 (+5.56% final week) |

**Cathay Pacific — Key Event Analysis**

**August 2025 — Global Market Selloff:**

Cathay's worst week (-11.69%) was driven not by company-specific news but by a broader Asian market selloff, likely linked to global risk-off sentiment. The stock recovered within two months, suggesting the dip was macro-driven rather than reflecting fundamental deterioration.

**February 2026 — 52-Week Peak:**

Cathay's best week (+10.53%) coincided with strong momentum from its 2025 annual results preview, record cargo revenues, and positive commentary around the Seattle route launch. The stock reached HKD 14.06 — its highest point in the analysis period.

**March 2026 — Middle East Tensions:**

Iran-related geopolitical tensions caused a sector-wide selloff, with Cathay falling from HKD 14.06 to HKD 11.41 over four weeks. This was followed by a strong recovery, confirming that the dip was externally driven.

**May 2026 — AGM and Share Buyback:**

The appointment of a new Chairman and the approval of a 10% share buyback mandate significantly improved investor sentiment. Share buybacks reduce the number of outstanding shares, mechanically increasing earnings per share and signalling management confidence in the stock's value.

**Singapore Airlines — Key Event Analysis**

**July 2025 — 52-Week High:**

SIA peaked at SGD 7.57 on strong summer travel demand and pre-results optimism. The following week (-9.91%) marked the beginning of a sustained downtrend as investors began pricing in the Air India exposure.

**November 2025 — H1 FY2026 Results:**

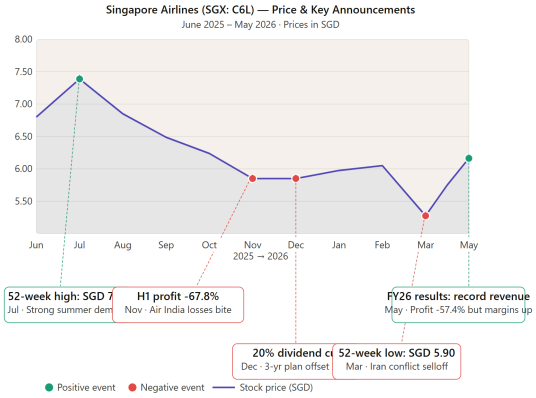
SIA reported a 67.8% decline in net profit despite record group revenue of SGD 9.675 billion. The Air India loss of approximately SGD 946 million over the full year was the primary driver. The market reacted negatively, pushing the stock below SGD 6.40.

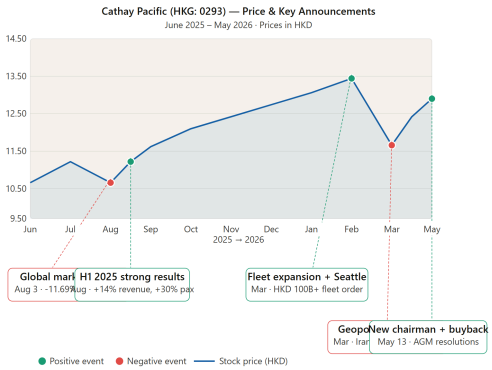
**December 2025 — Dividend Cut:**

SIA cut its interim dividend by 20% to SGD 0.08 per share. The impact was partially offset by the announcement of a special three-year dividend plan of SGD 0.10 per share, which provided an income floor for investors and limited further selling pressure.

**March 2026 — 52-Week Low:**

SIA hit its 52-week low of SGD 5.90 during the Middle East crisis, before recovering to SGD 6.78 by the end of the analysis period — still below the opening price.




## D.Returns vs Sectoral & Market Index

**Market Index :**

A market index is a basket of many stocks representing the overall performance of a stock market. It serves as a benchmark to measure whether an individual stock is outperforming or underperforming the broader economy. For this analysis:

- Cathay Pacific (HKG: 0293) is benchmarked against the Hang Seng Index (HSI) — Hong Kong's primary index comprising the 50 largest companies on the Hong Kong Exchange.
- Singapore Airlines (SGX: C6L) is benchmarked against the Straits Times Index (STI) — Singapore's primary index comprising the 30 largest companies on the Singapore Exchange.

**Sectoral Index:**

A sectoral index tracks only companies within one specific industry. For airlines, the relevant sector is Transportation/Airlines. This allows investors to determine whether an airline is outperforming or underperforming its direct industry peers, rather than the entire market.

| Stock / Index | Period Return | Currency | Notes |
|---|---|---|---|
| Hang Seng Index (HSI) | ~+15% | HKD | 50 largest HK-listed companies |
| Cathay Pacific (0293.HK) | +27.64% | HKD | Outperformed HSI by ~13pp; benefited from cargo growth and HK travel recovery |
| Straits Times Index (STI) | ~+5% | SGD | 30 largest SGX-listed companies |
| Singapore Airlines (C6L.SI) | -1.74% | SGD | Underperformed STI by ~7pp; weighed by SGD 946M Air India losses |

Cathay Pacific strongly outperformed the Hang Seng Index. While the broader Hong Kong market gained approximately 15%, Cathay Pacific delivered a 27.64% total return — outperforming by roughly 13 percentage points. Singapore Airlines, however, underperformed the Straits Times Index. The STI rose approximately 5%, while SIA fell -1.74% over the same period, resulting in an underperformance of approximately 6.74 percentage points. This drag is largely attributable to SIA's SGD 946 million share of Air India's losses following the Vistara-Air India merger.

The global airline sector experienced a mixed performance in 2025-26. Passenger demand remained robust globally, with both airlines recording near-record passenger numbers. However, yields (revenue per available seat-kilometre) compressed as airlines added capacity aggressively. Additionally, geopolitical events — particularly Middle East tensions in early 2026 — triggered

sector-wide selloffs. Cathay Pacific benefited more from the Hong Kong travel recovery and cargo growth, while Singapore Airlines was weighed down by the Air India investment.